



## STATEMENT OF ADVICE

### Financial Planning Strategy

***Prepared for:***

Ms. Lynn Kelly

Of

205/211 BAY STREET  
BRIGHTON VIC 3186

***Prepared on:***

30<sup>th</sup> January 2024

***By your Adviser:***

***Andrew Lord B Bus (Acc), Dip FS (Fin Plan)***

Lakeside Financial  
Level 1, 429 Bay Street  
Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

Email: [andrew.lord@lakesidefinancial.com.au](mailto:andrew.lord@lakesidefinancial.com.au)

Authorised Representative # 324798

Pareto Group Pty Ltd

ABN 11 155 278 078 Australian Financial Services Licensee No. 418700

1/99 Bay Street, Brighton, Vic, 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

**What this document is about**

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

**What to do after reading this Statement of Advice**

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

Ms Lynn Kelly  
205/211 Bay Street  
**BRIGHTON VIC 3186**

30/01/2024

Dear Lynn,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

**Andrew Lord**  
B Bus (Acc), Dip FS (Fin Plan)  
Authorised Representative No 324798 of  
Pareto Group Pty Ltd

# Table of Contents

|                                                                                |           |
|--------------------------------------------------------------------------------|-----------|
| STATEMENT OF ADVICE .....                                                      | 1         |
| Financial Planning Strategy .....                                              | 1         |
| Purpose of this document .....                                                 | 4         |
| Timeframe for our advice .....                                                 | 4         |
| Check for accuracy .....                                                       | 4         |
| Limitations of our advice .....                                                | 4         |
| Product selection .....                                                        | 5         |
| <b>Introduction .....</b>                                                      | <b>6</b>  |
| The Scope of Our Advice .....                                                  | 6         |
| Our Investment Recommendations .....                                           | 6         |
| Your Adviser .....                                                             | 7         |
| The Planning Process .....                                                     | 7         |
| <b>Executive Summary .....</b>                                                 | <b>8</b>  |
| Your Goals and Objectives .....                                                | 8         |
| <b>Personal Information .....</b>                                              | <b>9</b>  |
| Personal Details .....                                                         | 9         |
| Employment Details .....                                                       | 9         |
| Current Assets and Liabilities .....                                           | 10        |
| <b>Your Investor Risk Profile .....</b>                                        | <b>11</b> |
| <b>Strategy Recommendation .....</b>                                           | <b>12</b> |
| Tax Rates .....                                                                | 12        |
| Tax on superannuation earnings, contributions and income streams .....         | 13        |
| Superannuation Contribution Limits .....                                       | 14        |
| <b>Strategy Recommendation .....</b>                                           | <b>15</b> |
| Superannuation Funds .....                                                     | 16        |
| Investments Within Superannuation .....                                        | 16        |
| <u>Aware Super 'Balanced' Option Historical Performance at 30/11/23:</u> ..... | 17        |
| Proposed Portfolio .....                                                       | 19        |
| <b>Replacement of an Existing Product .....</b>                                | <b>21</b> |
| Concessional Superannuation Contributions Carry Forward .....                  | 23        |
| Tax Liability - Lynn .....                                                     | 25        |
| Tax Liability - Lynn .....                                                     | 26        |
| Non- Concessional Superannuation Contributions .....                           | 27        |
| Overall Superannuation Contribution Schedule .....                             | 28        |
| Investment Structures & Associated Retirement Projections: .....               | 29        |
| Impact of Annual Retirement Income on Capital .....                            | 31        |
| <b>What is paid to your adviser .....</b>                                      | <b>32</b> |
| Plan Fee .....                                                                 | 32        |
| Disclosure Statement .....                                                     | 33        |
| <b>Appendix A – Assumptions .....</b>                                          | <b>36</b> |
| <b>Appendix B – Retirement Capital Projections .....</b>                       | <b>37</b> |

## Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

### *Timeframe for our advice*

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

### *Check for accuracy*

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

### *Limitations of our advice*

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

### Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

### ***Product selection***

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

### Introduction

---

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

### The Scope of Our Advice

In this statement of advice, the main-focus is on:

- Retirement Income Planning
- Superannuation Advice
- Superannuation Contribution Strategies
- Most Appropriate Use and Structure for Surplus Funds

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

### Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

### Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

### The Planning Process

Lynn, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

### Executive Summary

---

In this plan our advice considers the following areas of your financial circumstances.

### Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Invest the surplus funds from the proceeds of your mother's estate under a tax effective structure from which you can draw down a tax-free income stream in the future.
- Preserve your existing capital.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

|                   |            |
|-------------------|------------|
|                   |            |
| Title             | Ms         |
| First Name        | Lynn       |
| Surname           | Kelly      |
| Gender            | F          |
| Date of Birth     | 22/12/1962 |
| Age Last Birthday | 61         |
| Marital Status    | Divorced   |

Employment Details

|                   |                                                                |
|-------------------|----------------------------------------------------------------|
| Employment Status | Full-Time (across multiple roles)                              |
| Employer          | Swinburne University, Holmesglen TAFE, RAHC, APNA and Red Lily |

### Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

#### ASSETS

|                                | Value            |
|--------------------------------|------------------|
| Residential Home               | \$600,000        |
| Cash                           | \$25,000         |
| Impending inheritance proceeds | \$200,000        |
| <b>Total Lifestyle Assets</b>  | <b>\$825,000</b> |

#### Superannuation Assets

|                                    |                  |
|------------------------------------|------------------|
| <u>Lynn</u>                        |                  |
| Aware Super                        | \$454,073        |
| <b>Total Superannuation Assets</b> | <b>\$454,073</b> |

|                     |                    |
|---------------------|--------------------|
| <b>Total ASSETS</b> | <b>\$1,279,073</b> |
|---------------------|--------------------|

#### LIABILITIES

|                          |            |
|--------------------------|------------|
| Residential Home Loan    | \$0        |
| <b>Total Liabilities</b> | <b>\$0</b> |

|                  |                    |
|------------------|--------------------|
| <b>NET WORTH</b> | <b>\$1,279,073</b> |
|------------------|--------------------|

**Notes:** As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

### Your Investor Risk Profile

---

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Lynn, based upon our discussions and your responses to the Investor Risk Profile, it was determined that you have a '**Growth**' investor risk profile in regard to investments *inside superannuation*.

- A **Growth** investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A **Growth** portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A '**Growth**' investor will typically diversify their investment in the following manner:

|                      |     |
|----------------------|-----|
| Australian Shares    | 34% |
| International Shares | 37% |
| Fixed Interest       | 13% |
| Property             | 14% |
| Cash                 | 2%  |

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

## Strategy Recommendation

### Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

#### Income Earned in your personal name

##### *Tax rates 2023-24*

| <i><b>Taxable income</b></i> | <i><b>Tax on this income</b></i>              |
|------------------------------|-----------------------------------------------|
| \$1 – \$18,200               | Nil                                           |
| \$18,201 – \$45,000          | 19c for each \$1 over \$18,200                |
| \$45,001 – \$120,000         | \$5,092 plus 32.5c for each \$1 over \$45,000 |
| \$120,001 – \$180,000        | \$29,467 plus 37c for each \$1 over \$120,000 |
| \$180,001 and over           | \$51,667 plus 45c for each \$1 over \$180,000 |

\* The above rates **do not** include the Medicare levy of 2.0%.

#### Income Earned in the superannuation environment

|                                                  |   |                |
|--------------------------------------------------|---|----------------|
| Superannuation in 'accumulation' phase           | - | Tax rate = 15% |
| Superannuation in 'pre-retirement pension' phase | - | Tax rate = 15% |
| Superannuation in 'allocated pension' phase      | - | Tax rate = 0%  |

## Tax on superannuation earnings, contributions and income streams

|                                             | Non-superannuation                                                      | Super <b>accumulation and pre-retirement pension phase</b> | Super <b>allocated pension phase</b> |
|---------------------------------------------|-------------------------------------------------------------------------|------------------------------------------------------------|--------------------------------------|
|                                             |                                                                         |                                                            | After age 60                         |
| Salary/pension income                       | Marginal tax rate ( <b>max 45% + medicare</b> )                         | n/a                                                        | <b>Tax free</b>                      |
| Super contributions (SGC, salary sacrifice) | n/a                                                                     | <b>15%</b>                                                 | n/a                                  |
| Investment income                           | Marginal tax rate ( <b>max 45% + medicare</b> )                         | Maximum 15%                                                | <b>Tax free*</b>                     |
| Capital gains                               | <b>Marginal tax rate</b> (50% discount if held for more than 12 months) | <b>10%</b> (15% if asset held less than 12 months)         | <b>Tax free*</b>                     |

## Superannuation Contribution Limits

**Table 1- Concessional contribution limits**

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

| Date             | Limit (per annum) |           |           |            |                 |
|------------------|-------------------|-----------|-----------|------------|-----------------|
|                  | To Age 49         | Age 50-59 | Age 60-67 | Age 68-74* | Age 75 and over |
| From 1 July 2012 | \$25,000          | \$25,000  | \$25,000  | \$25,000   | SGC only        |
| From 1 July 2013 | \$25,000          | \$25,000  | \$35,000  | \$35,000   | SGC only        |
| From 1 July 2014 | \$30,000          | \$35,000  | \$35,000  | \$35,000   | SGC only        |
| From 1 July 2017 | \$25,000          | \$25,000  | \$25,000  | \$25,000   | SGC only        |
| From 1 July 2021 | \$27,500          | \$27,500  | \$27,500  | \$27,500   | SGC only        |

\*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

**Table 2 - Non-concessional contribution limits**

| Date             | Limit on after-tax contributions | Eligibility Requirements                                                                            |                  |                   |
|------------------|----------------------------------|-----------------------------------------------------------------------------------------------------|------------------|-------------------|
|                  |                                  | Under age 67                                                                                        | Age 67 to 74     | Age 75 and over   |
| From 1 July 2007 | \$150,000 p.a.                   | May bring forward two years of contributions to make a \$450,000 contribution in one financial year | Must be employed | Cannot contribute |
| From 1 July 2014 | \$180,000 p.a.                   | May bring forward two years of contributions to make a \$540,000 contribution in one financial year | Must be employed | Cannot contribute |
| From 1 July 2017 | \$100,000 p.a.                   | May bring forward two years of contributions to make a \$300,000 contribution in one financial year | Must be employed | Cannot contribute |
| From 1 July 2021 | \$110,000 p.a.                   | May bring forward two years of contributions to make a \$330,000 contribution in one financial year | Must be employed | Cannot contribute |
| From 1 July 2022 | \$110,000 p.a.                   | May bring forward two years of contributions to make a \$330,000 contribution in one financial year |                  | Cannot contribute |

### Strategy Recommendation

---

#### Reasons For Seeking Advice:

- Lynn, you are expecting approximately \$200,000 to flow through to you from your mother's Estate.
- You therefore expect to have **\$200,000** of cash available to you which you seek advice in terms of the most appropriate structure for these funds.

### Superannuation Funds

Lynn, you currently have the following superannuation fund:

#### Lynn

##### **Aware Super – Account Number 7427530**

- The fund currently has a balance of approximately \$454,073.

### Superannuation Accumulation Funds

- You effectively have two options in terms of how your existing superannuation monies are structured:
  - Continue to hold these monies in your existing Aware Super fund.
  - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.

### Investments Within Superannuation

#### Aware Super – Account Number 1075411116 (Lynn)

Lynn, you have a superannuation fund with Aware Super invested in the 'Balanced (100%)' option.

The asset allocation of your Aware Super portfolio is:

| Asset Class               | % of Portfolio |
|---------------------------|----------------|
| Australian Shares         | 22.00%         |
| International Shares      | 33.00%         |
| Property / Infrastructure | 18.00%         |
| Alternative               | 7.00%          |
| Fixed Interest            | 15.00%         |
| Cash                      | 5.00%          |
|                           | <b>100%</b>    |

### Current Aware Super Portfolio Profile Compared to a 'Growth' Benchmark

| Asset Class             | Current Portfolio | Benchmark Profile for Growth Portfolio | Deviation |
|-------------------------|-------------------|----------------------------------------|-----------|
| Australian Shares       | 22.00%            | 34%                                    | -12.00%   |
| International Shares    | 33.00%            | 37%                                    | -4.00%    |
| Property/Infrastructure | 18.00%            | 14%                                    | +4.00%    |
| Fixed Interest          | 15.00%            | 13%                                    | +2.00%    |
| Cash                    | 5.00%             | 2%                                     | +3.00%    |
| Alternative             | 7.00%             | 0%                                     | +7.00%    |

### Aware Super 'Balanced' Option Historical Performance at 31/12/23:

|             | 1 year | 3 years (p.a.) | 5 years (p.a.) |
|-------------|--------|----------------|----------------|
| Aware Super | 10.98% | 5.80%          | 7.67%          |

### *Option 1 – Maintain Existing Aware Super*

#### Lynn

You are invested in Aware Super's 'Balanced' option which is not aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

#### **Downside:**

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance and short-term performance associated with your Aware Super is lower than alternative options.

### Option 2 – Master Trust Platforms (Colonial First State)

Your investments in the Colonial First State (CFS) platform would have a specifically modelled portfolio directly in line with your 'Growth' Investor Risk Profile. The specific underlying funds that make up your individual portfolio would be:

#### Lynn

#### **Colonial First State Wholesale Personal Super – 'Growth' portfolio**

|                                          | % of portfolio |
|------------------------------------------|----------------|
| Realindex Australian Share Value         | 12.00%         |
| Lazard Select Australian Equity          | 11.00%         |
| First Sentier Australian Small Companies | 11.00%         |
| CFS Index Global Share                   | 19.00%         |
| Acadian Sustainable Global Equity        | 18.00%         |
| Pendal Property Investment               | 4.00%          |
| First Sentier Property Securities        | 4.00%          |
| CFS Global Infrastructure Securities     | 6.00%          |
| Perpetual Diversified Income             | 13.00%         |
| FirstRate Saver                          | 2.00%          |
|                                          | <b>100.00%</b> |

#### **Performance of the alternative Colonial First State 'Growth\*' Portfolio at 31/12/2023:**

|                                          | % of portfolio | 1 year        | 3 years p.a. | 5 years p.a. |
|------------------------------------------|----------------|---------------|--------------|--------------|
| Realindex Australian Share Value         | 12.00%         | 12.68%        | 11.96%       | 11.56%       |
| Lazard Select Australian Equity          | 11.00%         | 8.90%         | 16.54%       | 10.00%       |
| First Sentier Australian Small Companies | 11.00%         | 8.98%         | 4.50%        | 11.67%       |
| CFS Index Global Share                   | 19.00%         | 19.20%        | 9.96%        | 11.75%       |
| Acadian Sustainable Global Equity        | 18.00%         | 20.57%        | 12.48%       | 12.56%       |
| Pendal Property Investment               | 4.00%          | 15.56%        | 4.76%        | 6.57%        |
| First Sentier Property Securities        | 4.00%          | 16.01%        | 5.86%        | 6.60%        |
| CFS Global Infrastructure Securities     | 6.00%          | 3.12%         | 5.21%        | 5.90%        |
| Perpetual Diversified Income             | 13.00%         | 6.31%         | 2.40%        | 2.53%        |
| FirstRate Saver                          | 2.00%          | 3.67%         | 1.56%        | 1.27%        |
|                                          | <b>100%</b>    | <b>13.18%</b> | <b>8.97%</b> | <b>9.50%</b> |

\* This portfolio is in line with your Investor Risk Profile

### Performance of the alternative Colonial First State 'Balanced to Growth' Portfolio at 31/12/2023:

|                                          | % of portfolio | 1 year        | 3 years p.a. | 5 years p.a. |
|------------------------------------------|----------------|---------------|--------------|--------------|
| Realindex Australian Share Value         | 10.50%         | 12.68%        | 11.96%       | 11.56%       |
| Lazard Select Australian Equity          | 10.00%         | 8.90%         | 16.54%       | 10.00%       |
| First Sentier Australian Small Companies | 10.00%         | 8.98%         | 4.50%        | 11.67%       |
| CFS Index Global Share                   | 19.00%         | 19.20%        | 9.96%        | 11.75%       |
| Acadian Sustainable Global Equity        | 14.00%         | 20.57%        | 12.48%       | 12.56%       |
| Pendal Property Investment               | 4.00%          | 15.56%        | 4.76%        | 6.57%        |
| First Sentier Property Securities        | 3.00%          | 16.01%        | 5.86%        | 6.60%        |
| CFS Global Infrastructure Securities     | 6.00%          | 3.12%         | 5.21%        | 5.90%        |
| Perpetual Diversified Income             | 19.50%         | 6.31%         | 2.40%        | 2.53%        |
| FirstRate Saver                          | 4.00%          | 3.67%         | 1.56%        | 1.27%        |
|                                          | <b>100%</b>    | <b>12.31%</b> | <b>8.21%</b> | <b>8.73%</b> |

^ This portfolio is in line with the asset allocation of your existing Aware Super fund.

### Proposed Portfolio

| Superannuation Assets                                                  |                   |
|------------------------------------------------------------------------|-------------------|
| <b>Aware Super Accumulation Fund (Account # - 7427530)</b>             | <b>\$10,000**</b> |
| <b>Colonial First State Wholesale Personal Super (Account # - TBD)</b> | <b>\$444,073</b>  |
| Realindex Australian Share Value                                       | \$53,224          |
| Lazard Select Australian Equity                                        | \$48,788          |
| First Sentier Australian Small Companies                               | \$48,788          |
| CFS Index Global Share                                                 | \$84,271          |
| Acadian Sustainable Global Equity                                      | \$79,835          |
| Pendal Property Investment                                             | \$17,741          |
| First Sentier Property Securities                                      | \$17,741          |
| CFS Global Infrastructure Securities                                   | \$26,612          |
| Perpetual Diversified Income                                           | \$57,659          |
| FirstRate Saver                                                        | \$8,871           |
| <b>Retirement Assets</b>                                               | <b>\$454,073</b>  |

\*\*Minimum balance required to keep account balance above \$6,000 minimum and pay Income Protection premium of \$1,200 p.a. for 4 years. We will assess the balance each year at the time of your annual review to ensure the account remains open.

**Benefits:**

- The alternative portfolio has outperformed your current fund.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

## Replacement of an Existing Product

### Lynn

| Type of Fee or Cost                                                                                                                                                | Aware Super - \$454,073              | Colonial Wholesale Super Fund - \$443,530 |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|-------------------------------------------|
| <b>Contribution/Entry fee</b> – this is the fee for initial and subsequent contributions.                                                                          | Nil                                  | Nil                                       |
| <b>Withdrawal/Exit Fee</b> – this is the fee for each withdrawal you make                                                                                          | Nil                                  | Nil                                       |
| <b>Switching Fee</b> – fee charged for switching between investment options in the super fund.                                                                     | Nil                                  | Nil                                       |
| <b>Administration Costs</b> – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer | Admin. Fee<br>0.16% p.a. + \$52 p.a. | Nil                                       |
| <b>Adviser Service Fee</b> – additional fee paid to financial adviser                                                                                              | Nil                                  | \$1,800 p.a.                              |
| <b>Annual average cost – Total \$454,073 investment</b>                                                                                                            | <b>\$779 p.a.</b>                    | <b>\$1,800 p.a.</b>                       |

### Outcomes Post Implementation - Lynn:

- The Colonial First State Wholesale 'Growth' portfolio has **outperformed** your current Aware Super Fund over the past 5 years by an average of **1.83% p.a.**
- Based on your current balance, **this equates to \$8,310 per annum (\$41,550 over a five-year period).**
- The historical performance figures outlined on the previous pages are **NET** of the respective investment fees. The investment fees for the above two options are as follows:
  - Aware Super (current) – **0.66%**
  - CFS portfolio (proposed) – **0.85%**

### Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-Insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

### Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

**Lynn**, you currently have the following insurance cover in place under your Aware Super fund.

#### Aware Super (superannuation owned)

Life Insurance: NIL

TPD NIL

Income Protection: \$3,000– 90 day waiting period; 2-year payment period.

**It must be brought to your attention that your insurance cover will cease should you close your existing superannuation funds and roll your superannuation monies across to another fund. A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken.**

**In the interim, it is recommended to retain a sufficient balance in your Aware Super account to retain the existing Income Protection cover.**

## Concessional Superannuation Contributions Carry Forward

Lynn, the concessional superannuation contribution cap in previous years was \$25,000 per annum. In the 2021/22 financial year, this cap increased to \$27,500 p.a.

### Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
  - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
  - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- Lynn, the following concessional contributions have been made in recent years:

| Financial Year | Lynn            | Total Allowable Contributions |
|----------------|-----------------|-------------------------------|
| 2018/19        | \$10,324        | \$25,000                      |
| 2019/20        | \$10,324        | \$25,000                      |
| 2020/21        | \$11,238        | \$25,000                      |
| 2021/22        | \$28,823        | \$27,500                      |
| 2022/23        | \$20,787        | \$27,500                      |
| <b>TOTAL</b>   | <b>\$81,496</b> | <b>\$130,000</b>              |

- Lynn, you therefore have a total of **\$48,504** in concessional 'catch-up' contributions available to you from the 2018/19, 2019/20, 2020/21, 2021/22 and 2022/23 years.

### Recommendation:

- **Lynn**, as your superannuation balance is less than \$500,000 you are eligible to make 'catch up' concessional contributions.
- **Lynn**, we recommend you make the additional 'catch up' contribution of **\$48,504** in the 2023/24 financial year.
- **Lynn**, in light of the above, consider making additional salary sacrifice or personal concessional contributions to superannuation up to the maximum limit each year. This would equate to an additional personal contribution of **\$14,300 p.a.**
- The associated tax benefit is outlined on the following pages.

### Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to 34.5% (including the 2% Medicare levy) if taken as income.
- **The total tax saving each year is anticipated to be:**
  - **Lynn** **\$2,788**
- **The total tax saving from making a one-time 'catch-up' contribution of \$48,504 on top of making the above additional personal contribution is anticipated to be:**
  - **Lynn** **\$12,388**

## Tax Liability - Lynn

### Current Estimated Tax Liability

| Income Source                                  | Amount Received | Deduction | Taxable Income   | Tax             |
|------------------------------------------------|-----------------|-----------|------------------|-----------------|
| Gross Income from employment                   | \$120,000       |           |                  |                 |
| <b>Deductions</b>                              |                 |           |                  |                 |
|                                                |                 |           |                  |                 |
| <b>TAXABLE INCOME</b>                          |                 |           | <b>\$120,000</b> |                 |
| <b>Tax Payable before Rebates/Credits</b>      |                 |           |                  | <b>\$29,467</b> |
| <b>LESS Rebates &amp; Credits</b>              |                 |           |                  |                 |
| Low Mid Income Tax Offset                      |                 |           |                  | (\$0)           |
| <b>Total Rebates &amp; Credits</b>             |                 |           |                  | <b>(\$0)</b>    |
| <b>TAX PAYABLE after REBATES &amp; CREDITS</b> |                 |           |                  | <b>\$29,467</b> |
| Medicare Levy                                  |                 |           |                  | \$2,400         |
| <b>NET TAX</b>                                 |                 |           |                  | <b>\$31,867</b> |

### Proposed Estimated Tax Liability

| Income Source                                  | Amount Received | Deduction | Taxable Income   | Tax             |
|------------------------------------------------|-----------------|-----------|------------------|-----------------|
| Gross Income from employment                   | \$120,000       |           |                  |                 |
| <b>Deductions</b>                              |                 |           |                  |                 |
| Additional Contribution                        |                 | \$14,300  |                  |                 |
| <b>TAXABLE INCOME</b>                          |                 |           | <b>\$105,700</b> |                 |
| <b>Tax Payable before Rebates/Credits</b>      |                 |           |                  | <b>\$24,820</b> |
| <b>LESS Rebates &amp; Credits</b>              |                 |           |                  |                 |
| Low Mid Income Tax Offset                      |                 |           |                  | (\$0)           |
| <b>Total Rebates &amp; Credits</b>             |                 |           |                  | <b>(\$0)</b>    |
| <b>TAX PAYABLE after REBATES &amp; CREDITS</b> |                 |           |                  | <b>\$24,820</b> |
| Medicare Levy                                  |                 |           |                  | \$2,114         |
| <b>NET TAX</b>                                 |                 |           |                  | <b>\$26,934</b> |

**Note:** the additional \$14,300 superannuation contribution will be subject to contributions tax of 15% (\$2,145). Therefore, total tax incurred will be \$29,079.

**Therefore, the overall tax benefit is anticipated to be \$2,788 per year (\$31,867 – \$29,079).**

## Tax Liability - Lynn

### Current Estimated Tax Liability

| Income Source                                  | Amount Received | Deduction | Taxable Income   | Tax             |
|------------------------------------------------|-----------------|-----------|------------------|-----------------|
| Gross Income from employment                   | \$120,000       |           |                  |                 |
| <b>Deductions</b>                              |                 |           |                  |                 |
| Additional contribution                        |                 |           |                  |                 |
| <b>TAXABLE INCOME</b>                          |                 |           | <b>\$120,000</b> |                 |
| <b>Tax Payable before Rebates/Credits</b>      |                 |           |                  | <b>\$29,467</b> |
| <b>LESS Rebates &amp; Credits</b>              |                 |           |                  |                 |
| Low Mid Income Tax Offset                      |                 |           |                  | (\$0)           |
| <b>Total Rebates &amp; Credits</b>             |                 |           |                  | <b>(\$0)</b>    |
| <b>TAX PAYABLE after REBATES &amp; CREDITS</b> |                 |           |                  | <b>\$29,467</b> |
| Medicare Levy                                  |                 |           |                  | \$2,400         |
| <b>NET TAX</b>                                 |                 |           |                  | <b>\$31,867</b> |

### Proposed Estimated Tax Liability

| Income Source                                  | Amount Received | Deduction | Taxable Income  | Tax             |
|------------------------------------------------|-----------------|-----------|-----------------|-----------------|
| Gross Income from employment                   | \$120,000       |           |                 |                 |
| <b>Deductions</b>                              |                 |           |                 |                 |
| Additional Contribution                        |                 | \$14,300  |                 |                 |
| 'Catch-Up' Contribution                        |                 | \$48,504  |                 |                 |
| <b>TAXABLE INCOME</b>                          |                 |           | <b>\$57,196</b> |                 |
| <b>Tax Payable before Rebates/Credits</b>      |                 |           |                 | <b>\$9,056</b>  |
| <b>LESS Rebates &amp; Credits</b>              |                 |           |                 |                 |
| Low Mid Income Tax Offset                      |                 |           |                 | (\$142)         |
| <b>Total Rebates &amp; Credits</b>             |                 |           |                 | <b>(\$142)</b>  |
| <b>TAX PAYABLE after REBATES &amp; CREDITS</b> |                 |           |                 | <b>\$8,914</b>  |
| Medicare Levy                                  |                 |           |                 | \$1,144         |
| <b>NET TAX</b>                                 |                 |           |                 | <b>\$10,058</b> |

**Note:** the additional \$62,804 superannuation contribution will be subject to contributions tax of 15% (\$9,421). Therefore, total tax incurred will be \$19,479.

**Therefore, the overall tax benefit is anticipated to be \$12,388 p.a. (\$31,867 – \$19,479).**

## Non- Concessional Superannuation Contributions

### Recommendation:

- Following the above concessional contributions of \$62,804 being made this Financial Year, it is estimated that you will still have \$137,196 of surplus funds remaining with all concessional contribution limits utilised.
- If you are able to make the additional contribution of \$14,300 p.a. from your existing cash flow each year and do not need to put aside any of the inheritance proceeds, we would recommend making a one-time non-concessional contribution of \$137,196 (this contribution remains within the contribution caps detailed in the 'Superannuation Contribution Limits' section):

| Who          | Timing       | Type of contribution | Amount           |
|--------------|--------------|----------------------|------------------|
| Lynn         | Pre 30/06/24 | Non-concessional     | \$137,196        |
| <b>Total</b> |              |                      | <b>\$137,196</b> |

### Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

### Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

### Overall Superannuation Contribution Schedule

- **Lynn**, if you contribute the recommended 'carry forward' contribution (\$48,504) along with the maximum annual concessional contributions available to you, **the net tax saving over the next five years is anticipated to be \$23,540.**

*\*It is assumed existing employer contributions and Salary Sacrificing remain the same through these 5 years at \$13,200 p.a.*

|                                                                                         | 2023/24          | 2024/25         | 2025/26         | 2026/27         | 2027/28         | Total            |
|-----------------------------------------------------------------------------------------|------------------|-----------------|-----------------|-----------------|-----------------|------------------|
| <b>Concessional Contribution Cap</b>                                                    | <b>\$27,500</b>  | <b>\$27,500</b> | <b>\$27,500</b> | <b>\$27,500</b> | <b>\$27,500</b> |                  |
| Personal Concessional Contributions Available (including 'carry forward' contributions) | \$48,504         | -               | -               | -               | -               |                  |
| Carry Forward Contribution                                                              | \$48,504         | -               | -               | -               | -               | <b>\$48,504</b>  |
| Additional Concessional Contribution                                                    | \$14,300         | \$14,300        | \$14,300        | \$14,300        | \$14,300        | <b>\$71,500</b>  |
| <b>Total Concessional Contribution</b>                                                  | <b>\$62,804</b>  | <b>\$14,300</b> | <b>\$14,300</b> | <b>\$14,300</b> | <b>\$14,300</b> | <b>\$120,004</b> |
| Taxable Income                                                                          | \$57,196         | \$105,700       | \$105,700       | \$105,700       | \$105,700       |                  |
| <b>Reduction in Net Tax Payable</b>                                                     | <b>\$12,388</b>  | <b>\$2,788</b>  | <b>\$2,788</b>  | <b>\$2,788</b>  | <b>\$2,788</b>  | <b>\$23,540</b>  |
| <b>Total Non-Concessional Contribution</b>                                              | <b>\$137,196</b> | -               | -               | -               | -               | <b>\$137,196</b> |
| <b>Total Contribution</b>                                                               | <b>\$200,000</b> | <b>\$14,300</b> | <b>\$14,300</b> | <b>\$14,300</b> | <b>\$14,300</b> | <b>\$257,200</b> |

### Investment Structures & Associated Retirement Projections:

#### Assumptions:

- 10-year period projections (takes you to the age of 71).
- Superannuation capital and managed funds increase by 6.0% p.a.
- Cash in bank accrues interest at 4% p.a.
- Property grows in value by 5% p.a.
- Concessional contributions into Super are taxed at 15%.
- **Lynn, you continue to work in your current capacity for another 6 years before retiring and drawing down a tax-free income of \$60,000 p.a.**
- Total Capital as at this point is as follows.

|                                                               |                  |
|---------------------------------------------------------------|------------------|
| <b>Total Super Capital:</b>                                   | <b>\$443,530</b> |
| <b>Total Net Investment Capital (outside superannuation):</b> | <b>\$225,000</b> |
| <b>Net Retirement Capital:</b>                                | <b>\$668,530</b> |

#### Scenario 1:

- Retain current position.

|                                                               |                    |
|---------------------------------------------------------------|--------------------|
| <b>Total Net Super Capital:</b>                               | <b>\$630,623</b>   |
| <b>Total Net Investment Capital (outside superannuation):</b> | <b>\$444,018</b>   |
| <b>Net Retirement Capital:</b>                                | <b>\$1,074,641</b> |

#### Scenario 2:

- Make an additional contribution of \$14,300 each year to make the maximum contribution of \$27,500 p.a.

|                                                               |                    |
|---------------------------------------------------------------|--------------------|
| <b>Total Net Super Capital:</b>                               | <b>\$737,662</b>   |
| <b>Total Net Investment Capital (outside superannuation):</b> | <b>\$354,689</b>   |
| <b>Net Retirement Capital:</b>                                | <b>\$1,092,351</b> |

### Scenario 3:

- Same as Scenario 2 but make a one-time 'catch-up' contribution of \$48,504.

|                                                               |                    |
|---------------------------------------------------------------|--------------------|
| <b>Total Net Super Capital:</b>                               | <b>\$807,317</b>   |
| <b>Total Net Investment Capital (outside superannuation):</b> | <b>\$299,316</b>   |
| <b>Net Retirement Capital:</b>                                | <b>\$1,106,633</b> |

### Scenario 4:

- Same as Scenario 3 but make an additional one-time non-concessional contribution of \$137,196.

|                                                               |                    |
|---------------------------------------------------------------|--------------------|
| <b>Total Net Super Capital:</b>                               | <b>\$1,039,106</b> |
| <b>Total Net Investment Capital (outside superannuation):</b> | <b>\$118,775</b>   |
| <b>Net Retirement Capital:</b>                                | <b>\$1,157,881</b> |

Aside from your Super/Investment capital, you will also retain your residential property, the estimated position of which after 10 years is as follows:

|                                     |                  |
|-------------------------------------|------------------|
| Residential property value:         | \$947,337        |
| Residential property debt:          | \$0              |
| <b>Residential property equity:</b> | <b>\$947,337</b> |

***A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.***

### Impact of Annual Retirement Income on Capital

Based on these Retirement Capital projections, the following returns would need to be achieved in order for you to satisfy specific annual retirement incomes without eroding any capital:

| Scenario | Projected Retirement Capital | Retirement Income Required | Required Annual Return on Capital |
|----------|------------------------------|----------------------------|-----------------------------------|
| 1        | \$1,074,641                  | \$30,000                   | 2.79%                             |
|          |                              | \$60,000                   | 5.58%                             |
|          |                              | \$90,000                   | 8.37%                             |
| 2        | \$1,092,351                  | \$30,000                   | 2.75%                             |
|          |                              | \$60,000                   | 5.49%                             |
|          |                              | \$90,000                   | 8.24%                             |
| 3        | \$1,106,633                  | \$30,000                   | 2.71%                             |
|          |                              | \$60,000                   | 5.42%                             |
|          |                              | \$90,000                   | 8.13%                             |
| 4B       | \$1,157,881                  | \$30,000                   | 2.59%                             |
|          |                              | \$60,000                   | 5.18%                             |
|          |                              | \$90,000                   | 7.77%                             |

### What is paid to your adviser

---

#### Plan Fee

You have agreed to a Plan Fee of \$2,000+GST, which will be invoiced to you.

#### Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of \$1,800 p.a. will apply to any Colonial FirstChoice investments implemented.

**The agreed ongoing fee** is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

### Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

#### **Cooling-off periods**

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

#### **No guarantee**

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

#### **Tax**

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

### Are My Product Recommendations Restricted?

#### *Non-Superannuation Products*

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

#### *Superannuation Products*

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

### What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

### Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

### **Your Financial Plan**

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is import to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

### **Next steps**

#### **How to get started**

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

### **Finally**

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

### Appendix A – Assumptions

---

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

---

## Appendix B – Retirement Capital Projections

---